Module 6: Tax Planning Across Life Stages

- Apply tax planning through all stages of life
- Integrate RRSPs, TFSAs, RESPs, and estate strategies
- Coordinate income, credits, and timing for maximum benefit

Learning Objectives

- Recognize tax priorities by life stage
- Use CRA thresholds effectively in planning
- Apply income splitting, credits, and benefits efficiently

Life Stage Framework

- Stage 1: Early Career (18–30)
- Stage 2: Family & Mid-Career (30–50)
- Stage 3: Pre-Retirement (50–65)
- Stage 4: Retirement (65+)
- Stage 5: Estate & Legacy Planning

Stage 1: Early Career

- Goals: build habits, file annually, start saving
- Prioritize TFSA for liquidity, RRSP for future deduction value
- Claim tuition and moving expenses

CRA 2024 Limits

- TFSA: $7,000 (cumulative $95,000)
- RRSP: 18% of earned income up to $31,560
- Tuition credits: 15% federal rate

RRSP vs TFSA

- RRSP: tax-deductible, taxable later
- TFSA: after-tax, tax-free forever
- Early career → TFSA preferred for flexibility

Case: Maya’s First Job

- Income $40,000, RRSP $2,000 saves ~$300 tax
- TFSA $2,000 grows tax-free, available anytime
- Maya gains RRSP room for future high-income years

Canada Workers Benefit (CWB)

- Refundable credit for low-income earners
- Claim automatically when filing
- Provides additional refund even if no tax due

Stage 2: Family & Mid-Career

- Goals: balance family, savings, and tax
- RRSP + RESP + CCB strategy for household optimization
- Leverage deductions, transfer credits, and benefits

Child-Related Planning

- Canada Child Benefit (CCB): $7,437 (<6), $6,275 (6–17)
- Tax-free; decreases with family net income > $35,000
- RRSP contributions reduce net income and increase CCB

RESP & CESG

- Contribute $2,500/year → $500 CESG (20%)
- Lifetime limit $50,000 per child
- Growth and withdrawals taxed to student at low rate

Case: Johnson Family

- Combined income $90,000, 2 children <6
- RRSP reduces taxable income → higher CCB
- Transfers tuition from child for $1,200 extra savings

Charitable & Medical Credits

- Combine donations for 29–33% higher credit rate
- Aggregate family medical under one return (3% rule)
- Carry forward unused donations for 5 years

Stage 3: Pre-Retirement

- Goals: income deferral, manage capital gains, prepare RRIF
- Convert RRSP by age 71; use spousal RRSP for balancing
- Defer CPP/OAS for higher future benefits

RRSP to RRIF Conversion

- Deadline: Dec 31 year turning 71
- Minimum withdrawal = 5.28% at 71 (CRA schedule)
- Withdraw early to stay below higher future brackets

CPP & OAS Timing

- CPP start: 60–70 (8.4% yearly increase when delayed)
- OAS start: 65–70 (7.2% increase per year delayed)
- Clawback threshold 2024: $90,997; ends near $148,000

Pension Income Splitting

- Split up to 50% eligible pension income (T1032)
- Both spouses claim $2,000 Pension Credit (Line 31400)
- Reduces combined tax and OAS clawback

Case: Raj’s Plan

- Age 63, earns $95K → delays OAS to 67
- Avoids clawback for 4 years = ~$4,000 saved
- Withdraws RRSP early at 20% bracket

Stage 4: Retirement

- Goals: income stability, clawback control, legacy planning
- Split RRIF/pension income, use TFSA for tax-free growth
- Sequence withdrawals: non-reg → RRIF → TFSA

Senior Tax Credits

- Age Amount: reduced over $42,335, ends near $98K
- Pension Credit: $2,000 per person
- Apply jointly with income splitting for max savings

Case: Elaine & Bob

- Both 70, joint income $110K
- Split RRIF income → both stay below OAS clawback
- Annual tax/OAS savings ≈ $1,800

TFSA in Retirement

- Continue contributions ($7,000/year) for compounding
- Use for emergency or estate planning
- Transfers to spouse tax-free upon death

Stage 5: Estate & Legacy Planning

- Goal: minimize final tax, preserve wealth
- RRSP/RRIF taxable at death unless rolled to spouse
- Principal residence exempt; TFSA passes tax-free

Deemed Disposition

- All assets deemed sold at fair market value on death
- Capital gains and RRSP income added to final return
- Spousal rollover defers tax until second death

Charitable Giving

- Donations in year of death offset up to 100% of income
- Gifts of appreciated securities avoid capital gains inclusion
- Use life insurance for legacy funding

RESP & RDSP

- RESP transfer to sibling if eligible
- RDSP grants and bonds continue with successor holder
- Review beneficiaries regularly

Case: Sharma Estate

- RRSP $300,000 → rolled to spouse tax-free
- At her death taxed 48% ($144,000), offset by donations
- Estate saves ~$45,000 tax via charitable strategy

Integrating Life Stage Planning

- Early Career: TFSA and credits
- Mid-Career: RRSP, RESP, CCB planning
- Pre-Retirement: deferrals, spousal RRSP
- Retirement: splitting, sequencing
- Estate: rollovers and donations

Annual Tax Review

- File even if no income to maintain benefit eligibility
- Update RRSP, TFSA, RESP room annually
- Monitor OAS clawback and CRA thresholds

CRA Thresholds 2024

- RRSP: $31,560 | TFSA: $7,000 | BPA: $15,705
- OAS Clawback: $90,997 | CPP Max Earnings: $68,500
- CCB: $7,437 (<6), $6,275 (6–17)

Planning Example Summary

- TFSA first, RRSP later for higher brackets
- RRSPs reduce income; credits reduce tax payable
- Strategic timing maximizes refund and benefits

Long-Term Strategy

- Revisit tax plan with every life change
- Integrate credits, deductions, and benefits yearly
- Tax efficiency = wealth preservation

Common Mistakes

- Missing RRSP deadline
- Ignoring CCB optimization
- Failing to plan for OAS clawback
- No estate plan = higher terminal tax

Key Takeaways

- Tax planning evolves with life stages
- Blend RRSP, TFSA, RESP, and credits together
- Review annually for changing CRA thresholds

Discussion Prompts

- When to prioritize RRSP vs TFSA?
- How does income splitting reduce OAS clawback?
- What’s the best saving mix for age 40?

Next Module Preview

- Module 7: Investment Income & Capital Gains
- Explore taxation of dividends, capital gains, and investment strategies